higher education & training

Department:
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REPUBLIC OF SOUTH AFRICA

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NATIONAL CERTIFICATE

MARKETING MANAGEMENT N4

(4030054)

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09:00–12:00

This question paper consists of 9 pages.

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DEPARTMENT OF HIGHER EDUCATION AND TRAINING
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE
MARKETING MANAGEMENT N4
TIME: 3 HOURS
MARKS: 200

NOTE: If you answer more than the required number of questions, only the required number will be marked. Clearly cross out ALL work you do NOT want to be marked.

INSTRUCTIONS AND INFORMATION

1. SECTION A is COMPULSORY and must be answered by all candidates in the ANSWER BOOK.
2. Answer any THREE questions in SECTION B.
3. Read ALL the questions carefully.
4. Number the answers according to the numbering system used in this question paper.
5. Write neatly and legibly.

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SECTION A (COMPULSORY)

QUESTION 1

Choose an item from COLUMN B that matches a description concerning a business organisation in COLUMN A. Write only the letter (A–N) next to the question number (1.1–1.10) in the ANSWER BOOK.

COLUMN A		COLUMN B	
1.1	Focus is on consumer needs	A	sales orientated
1.2	Focus is on individuality	B	needs orientated
1.3	Responsibility to promote interests of the community	C	consumer orientated
		D	strategic marketing orientated
1.4	Focus on teamwork of the various departments	E	cooperation orientated
1.5	Focus on aggressive selling techniques to get rid of surplus stock	F	system orientated
		G	production orientated
1.6	Directing planning and control of organisational activities	H	objective orientated
1.7	Focus on a long-term relationship with customers	I	price orientated
		J	marketing orientated
1.8	Focus on the firm's internal abilities	K	marketing concept
1.9	Focus is on satisfying consumer needs effectively	L	self-orientated
1.10	Aim is to make a profit	M	social orientated
		N	promotion orientated

(10 × 2) (20)

QUESTION 2

Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (2.1–2.15) in the ANSWER BOOK.

2.1 The culture of the organisation is a variable of its … environment.

A market
B micro
C macro
D social

2.2 Demographic changes form part of … forces in the macro environment.

A technological
B economic
C social
D physical

2.3 Prior experience is an example of a (or an) … source of information.

A interpersonal
B marketing
C internal
D external

2.4 Purchasing a Ferrari car is an example of a … motive.

A social
B safety
C ego
D self-fulfilment

2.5 … are formed as a result of direct experience with the product or service.

A Personalities
B Lifestyles
C Attitudes
D Perceptions

2.6 Selective … occurs when consumers listen to stimuli selectively.

A interpretation
B attention
C recall
D exposure

2.7 … satisfies the needs of people within a society.

A A product in great demand
B Culture
C Marketing
D A business

2.8 Formal and informal groups of people who influence the behaviour of individuals are called ... groups.

A social
B reference
C social classes
D cultural

2.9 A market segment is a subgroup of people who have …

A different needs.
B heterogeneous characteristics.
C the same buying power.
D homogeneous characteristics.

2.10 … assists the marketing manager in developing a separate marketing mix for each submarket.

A Market research
B Market aggregation
C Target marketing
D Market segmentation

2.11 Lifestyle is a possible variable of the … base of market segmentation.

A geographic
B demographic
C psychographic
D behaviour

2.12 The purpose of … is to identify marketing opportunities.

A market research
B market segmentation
C market analysis
D marketing

2.13 A … market is a specific segment for which a marketing strategy is planned and executed.

A homogeneous
B heterogeneous
C target
D micro

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2.14 A disadvantage of … segmentation is that all the risks taken are based in one segment.

A concentrated market
B market aggregation
C differentiated market
D mass marketing

2.15 Which ONE is not a role market research plays?

A Descriptive
B Observative
C Predictive
D Analytic

(15 × 2) (30)

TOTAL SECTION A: 50

SECTION B

Answer any THREE questions in this section.

QUESTION 3

3.1 Briefly discuss the FOUR main variables in the market components. (4 × 3) (12)

3.2 Identify the marketing function that is characterised by each of the following activities:

3.2.1 Providing specifications to the production department

3.2.2 Research about the characteristics and location of the market

3.2.3 Arises with the transfer of products from one person to another

3.2.4 A system that creates benefits of time and place

3.2.5 Methods ensuring that products remain in a marketable condition

(5 × 2) (10)

3.3 Identify THREE advantages of market segmentation. (3 × 2) (6)

3.4 Briefly explain the following management tasks of marketing:

3.4.1 Planning

3.4.2 Organising

3.4.3 Control

(3 × 4) (12)

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3.5 Identify FIVE determinants of consumer behaviour. (5 × 2) (10)
[50]

QUESTION 4

Read the case study below and answer the questions.

KFC is the world's second largest restaurant chain with more than 18 000 KFC outlets in 120 countries and territories around the world.

Although KFC is not a leader in the fast-food chain industry where it also competes, it is the market leader in the non-vegetable food joints categories in the majority of countries where it operates.

The secret recipe of Colonel Sanders' Original Recipe of '11 herbs and spices' is one of the most famous trade secrets in the catering industry.

As a result of government and NGO's health-awareness campaigns, people are becoming more aware of what they should consume and this leads to changing consumer eating habits. Using unhealthy fats and unhygienic calories therefore creates a problem for fast-food chains as the health-conscious population look for healthier menu options due to their changing lifestyles. These changing lifestyles along with emerging economies result in more outings with family, friends and corporate parties.

Since inception, some KFC outlets have unfortunately been closed because of conflicting operational issues arising between KFC and its franchisees.

[Adapted from: *www.zapmeta.co.za*]

4.1 Use the above case study to conduct a SWOT analysis (TWO strengths, TWO weaknesses, TWO opportunities, and TWO threats) of KFC. (4 × 4) (16)

4.2 What type of business is KFC? (2)

4.3 What is KFC's competitive advantage? (2)

4.4 Management has no control over the variables in the macro environment.

Name SIX variables in the macro environment. (6)

4.5 Name FIVE conditions for a successful trade to take place. (5 × 2) (10)

4.6 Cognitive dissonance could be a potential threat to marketing management.

List FOUR reasons why cognitive dissonance can increase. (4 × 2) (8)

4.7 An organisation that carries stock exposes itself to various risks.

Name THREE of these risks. (3 × 2) (6)
[50]

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QUESTION 5

5.1 Explain the following concepts:

5.1.1 Benefit theory (4)

5.1.2 Market aggregation (4)

5.1.3 Consumerism (2)

5.2 A multi-segmentation strategy offers many benefits to the company.

Name THREE of these advantages. (3 × 2) (6)

5.3 Name FOUR economic considerations in consumer decision-making. (4 × 2) (8)

5.4 Standardisation presents the marketer with the opportunity to differentiate his product.

Name FOUR advantages of standardisation. (4 × 2) (8)

5.5 Name FIVE characteristics buyers look for when buying products. (5 × 2) (10)

5.6 Consumers decide which stimulant they wish to act upon.

Name FOUR types of selective perception. (4 × 2) (8)

[50]

QUESTION 6

6.1 Choose an item from COLUMN B that matches a description in COLUMN A. Write only the letter (A–F) next to the question number (6.1.1–6.1.5) in the ANSWER BOOK.

COLUMN A		COLUMN B	
6.1.1	Group tends to accept a new product just before an average social group	A	early majority
6.1.2	Young consumers in a good financial position who have a high social status	B	first buyers
6.1.3	Group of older consumers at the bottom of economic and social scales	C	late majority
6.1.4	Often use sales personnel as a source of information	D	laggards
6.1.5	Group is influenced by pressure groups and circumstances	E	early buyers
		F	non-acceptors

(5 × 2) (10)

6.2 The influence of the family life cycle is an important consideration in developing the marketing strategy.

List the FIVE phases of the family life cycle in the correct order. (5 × 2) (10)

6.3 Identify the TEN steps in the segmentation process. (10)

6.4 Name FIVE examples of higher costs. (5 × 2) (10)

6.5 Identify the purchasing decision associated with buying a certain product in each of the following cases:

6.5.1 The consumer reaches a decision relatively quickly, for example, with regard to deodorants

6.5.2 Characterised by the apparent absence of planning, for example, sweets

6.5.3 When buying personal necessities

6.5.4 Consumers buy products without purposefully thinking about it, for example, spices

6.5.5 When purchasing durable products, for example, computers

(5 × 2) (10)
[50]

TOTAL SECTION B: 150
GRAND TOTAL: 200

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